FGV EUROPE THINK SERIES



UNLOCKING THE ECONOMIC AND GEOPOLITICAL POTENTIAL OF THE EU-MERCOSUR TRADE DEAL

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OVERVIEW

As part of its mission to foster dialogue and contribute to evidence-based public policy, FGV Europe has been analyzing strategic issues that directly affect Brazil, such as the European Union–Mercosur Agreement.

Through applied research, strategic partnerships, and participation in international forums, the institution provides qualified insights into the potential impacts of the agreement on trade, sustainability, and geopolitics.

This work reflects FGV Europe's ongoing commitment to fostering a balanced and forward-looking interregional cooperation. The signing of the EU–Mercosur Agreement and the beginning of its ratification process mark a significant step in strengthening relations between the regions, reinforcing their shared commitment to multilateralism, economic openness, and sustainable development.

In a global context marked by protectionism and geopolitical tensions, the agreement contributes to diversifying value chains and promoting higher environmental and social standards. This analysis invites reflection on the challenges, opportunities, and strategic relevance of this partnership.

Drawing on the 80 years of expertise of Fundação Getulio Vargas and operating from its offices in Germany and Belgium, FGV Europe seeks to strengthen its ties with European decision-making processes and promote international collaboration.

We hope this reading enriches the debate on the role of Brazil and the European Union in today's global landscape.

CESAR CUNHA CAMPOS
General Director
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ABSTRACT

The EU–Mercosur agreement, negotiated over more than two decades, represents a significant opportunity to restructure interregional trade and geopolitical relations. Covering a market of over 780 million people, it stands as one of the European Union's most ambitious trade deals. Given the EU's strategic objective to diversify supply chains and reinforce its global influence, alongside Mercosur's pursuit of economic modernization and expanded market access, the agreement presents a framework for mutually beneficial outcomes. It promises tariff reductions, regulatory cooperation, and investment opportunities, particularly in agri-food, manufacturing, green technology, and services. Despite opposition from EU agricultural sectors and concerns over deforestation and food quality standards, it includes binding environmental safeguards and sustainability clauses. In the context of rising global protectionism and expanding Chinese influence in Latin America, the current geopolitical landscape presents a critical juncture. Concluding the deal would strengthen EU–Mercosur relations, fostering economic growth, strategic autonomy, and sustainable development on both sides of the Atlantic.



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INTRODUCTION

The EU-Mercosur trade negotiations, initiated in 1999, represent a complex and evolving chapter in international trade relations. Over these years, both parties have undergone significant political and economic transformations, shaped by domestic shifts and broader geopolitical developments. The European Union (EU), now comprising 27 Member States, has expanded and contracted in recent years, most notably with Croatia's accession in 2013 and the United Kingdom's withdrawal in 2020. Meanwhile, the Mercosur bloc—formed in 1991 through the Treaty of Asunción by Argentina, Brazil, Paraguay, and Uruguay— has navigated its own institutional changes, including Venezuela's accession in 2012 and its suspension in 2016.

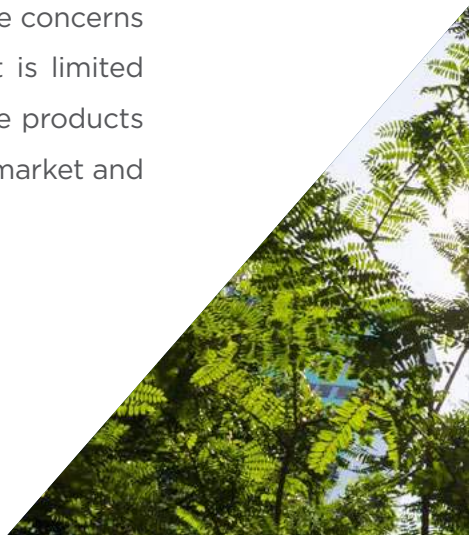
Mercosur's creation was deeply rooted in Latin America's pursuit of regional integration following the economic crises of the 1980s. The return to democracy in countries such as Argentina (1983), Brazil (1985), and Paraguay (1989) prompted a shift towards more cooperative economic policies. Initially centred on bilateral agreements, Mercosur gradually evolved into a broader regional initiative, aiming to enhance economic stability and mitigate historical tensions among its member states. While the early years witnessed progress in trade liberalisation and economic growth, challenges such as financial crises—most notably the devaluation of the Brazilian Real in 1999 and Argentina's economic collapse in 2001—exposed the structural asymmetries within the bloc. These disparities have persisted as a central challenge, with smaller economies such as Paraguay and Uruguay frequently disadvantaged within the integration process. After nearly two decades of intermittent negotiations, characterised by political shifts and interregional tensions, the EU and Mercosur finalised the trade and political chapters of the agreement in 2019 and 2020, respectively. Subsequent negotiations in 2024 resulted in additional environmental commitments and a political accord designed to facilitate the ratification process.

Over the course of these two decades, the geopolitical landscape in Latin America underwent significant transformation, notably marked by the increasing influence of China. Since the inception of the EU-Mercosur negotiations, China has markedly expanded its trade relations with Latin America, increasing from $14.6 billion in 2001 to $315 billion in 2020. This rapid growth, largely driven by demand for agricultural and mineral resources, has positioned China as the region's primary trading partner. In contrast, trade between the EU and Latin America expanded at a slower rate, from US$98 billion to US$197.4 billion over the same period (Wintgens,

2022). Amid the economic downturn triggered by the COVID-19 pandemic in 2020, Latin America's trade with China reached record levels relative to regional GDP, accounting for an estimated 3.8 per cent of GDP in imports and 3.2 per cent of GDP in exports (Ray et.al., 2021). As China's influence in Latin America has grown, the European Union faces mounting competition in sustaining its economic ties with the region. China has emerged as the largest trading partner of South America and the second-largest of Latin America overall, far surpassing the EU in terms of total trade volume.

China's growing presence in Latin America has been driven not only by trade but also by strategic financial and political engagement. Since 2005, Chinese development banks have provided $141 billion in loans to the region—more than to Africa and second only to Asia—while simultaneously increasing foreign direct investment in sectors linked to raw materials and strategic infrastructure. Latin America's abundance of natural resources, including critical raw materials essential to China's technological ambitions, makes it a natural partner (Johnston, 2025). In contrast, the EU and the US have lost strategic ground due to a combination of neglect, domestic scepticism toward trade liberalisation, and delayed engagement with the security and economic implications of China's rise. The EU's diminished visibility risks marginalising its role in a region it once viewed as a natural ally (Jütten, 2025).

From this geopolitical vantage point, the EU-Mercosur agreement assumes critical strategic importance. Mercosur remains the last major Latin American partner without a ratified trade deal with the EU. Its conclusion would complete the EU's trade architecture across Latin America, establishing the EU as the only global power with agreements covering nearly the entire continent—accounting for 95% of Latin America and the Caribbean's GDP, compared with 44% for the US and 14% for China (Baker et al., 2025). This comprehensive coverage would reinforce the EU's role as a key economic and political actor in the region. However, political and economic challenges persist. Within the EU, resistance from agricultural sectors—particularly in France—continues to pose a major hurdle, driven by fears of increased competition from Mercosur's agricultural exports. Yet, these concerns may be overstated. The market access granted under the agreement is limited and unlikely to threaten EU producers significantly. Quotas for sensitive products remain modest in proportion to the overall size of the EU's agricultural market and largely reflect existing trade volumes.



Meanwhile, the Mercosur countries—particularly Brazil—regard the agreement as a vital opportunity to enhance their access to the European market while preserving safeguards for their domestic industries. Yet the agreement's significance extends beyond trade flows. Environmental concerns, notably deforestation in the Amazon, have emerged as a central point of contention. In response to EU demands, the agreement includes binding sustainability provisions, with mechanisms allowing for the suspension of trade preferences if environmental commitments are not upheld, underscoring the EU's efforts to integrate environmental standards into trade policy.

Institutionally, the agreement also faces a complex ratification path. While the European Commission may propose treating the trade pillar as an EU-only agreement—requiring approval by the Council and the European Parliament— the broader political, environmental, and social provisions would follow the mixed agreement process, requiring ratification by all national parliaments. This potential dual-track approach calls for coordinated and timely political momentum on both sides of the Atlantic to secure the deal's implementation.

This paper examines why the EU-Mercosur agreement currently stands at a critical juncture. It analyses the trade, geopolitical, and environmental implications of the deal, and outlines the necessary steps both regions must undertake to secure its ratification and implementation—before rival powers, notably China, further consolidate their influence in Latin America, thereby shifting the regional balance to the detriment of the European Union.



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1. TRADE LIBERALISATION AND MARKET ACCESS



The EU-Mercosur agreement constitutes one of the European Union's most ambitious trade negotiations to date, encompassing a market of more than 780 million individuals.

Once implemented, the agreement will create one of the largest free trade areas in the world covering nearly a quarter of global GDP and accounting for 31% of global exports (Di Lodovico, 2024). The EU is currently Mercosur's second-largest trading partner, while Mercosur ranks as the EU's eighth-largest external market. Brazil occupies a particularly prominent position in this relationship, accounting for more than two-thirds (78.1%) of Mercosur's total exports to the EU, followed by Argentina (17.5%), Uruguay (3.3%), and Paraguay (1.1%). This export structure reflects the enduring influence of Brazil in shaping EU-Mercosur relations, which have historically been driven by Member States such as Germany, Portugal, and Spain, owing to their strong economic and historical ties to the bloc. Nonetheless, considerable variation persists in the degree of economic engagement with Mercosur across EU Member States, with some countries exhibiting limited trade and investment linkages (Grieger and Macsai, 2025). The agreement envisages the gradual elimination of tariffs on 91% of Mercosur's exports to the EU and 92% of EU exports to Mercosur, presenting significant economic opportunities for both blocs. Prior to the agreement, only 24% of Brazilian exports, measured by tariff lines, entered the EU duty-free. Tariff reductions vary by product category and are implemented through three mechanisms: immediate eliminations; gradual phase-outs over four to ten years; and reductions applied under tariff rate quotas spanning five to ten years. More specifically:



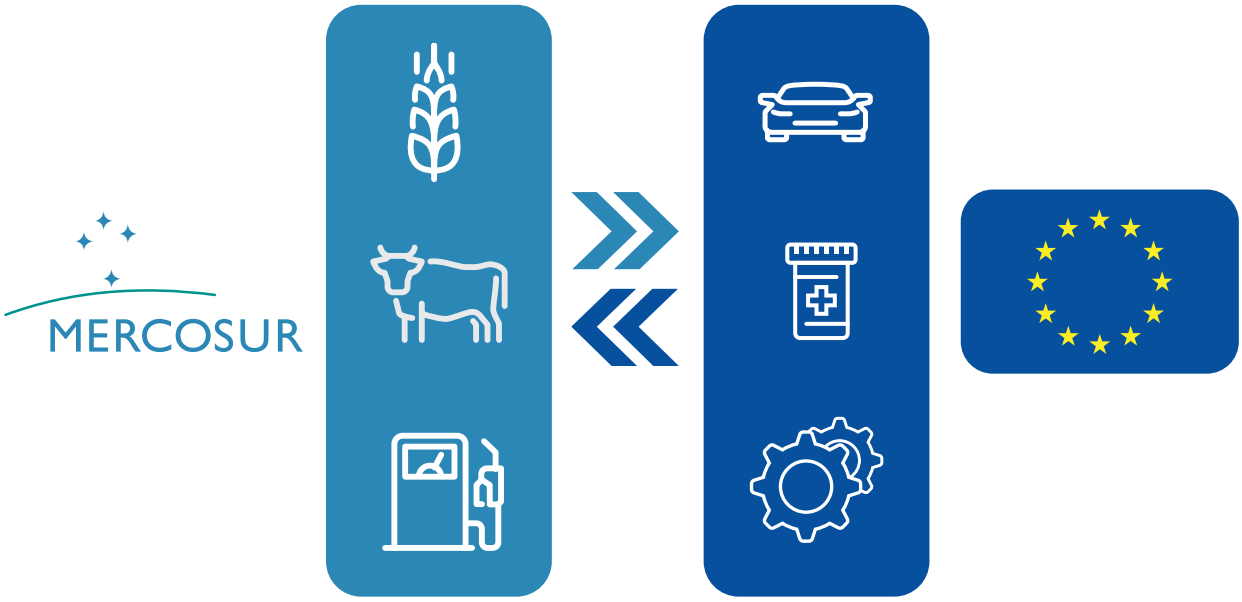
- In the industrial sector, the EU will phase out tariffs on all industrial goods within ten years. For the automotive sector, which is undergoing a major transformation due to the global shift to clean technologies, Mercosur secured longer transition periods. While previous negotiations capped liberalisation at 15 years, the latest terms now provide for: 18 years for electrified vehicles; 25 years for hydrogen-powered vehicles, with a six-year grace period; and 30 years for vehicles using future technologies not yet commercially available, also with six-year grace period.

- In agriculture, the EU will liberalise 82% of agricultural imports from Mercosur, while Mercosur will remove tariffs on 93% of tariff lines for

EU agri-food products. For several sensitive goods, the agreement introduces tariff rate quotas, allowing a limited volume of preferential imports at reduced rates, beyond which standard tariffs apply.

The deal is especially relevant for key European industries—such as automobiles, pharmaceuticals, and machinery—which stand to gain from improved access to South American markets. These sectors are areas where the EU has a competitive advantage, driven by advanced technology, strong R&D capacity, and well-established global supply chains. Conversely, Mercosur countries aim to expand exports of agricultural commodities—including beef, soybeans, and ethanol—where they possess a comparative advantage rooted in natural endowments like fertile land, favorable climate, and lower production costs. This pattern reflects the economic complementarity between the two regions, which the agreement is designed to leverage.

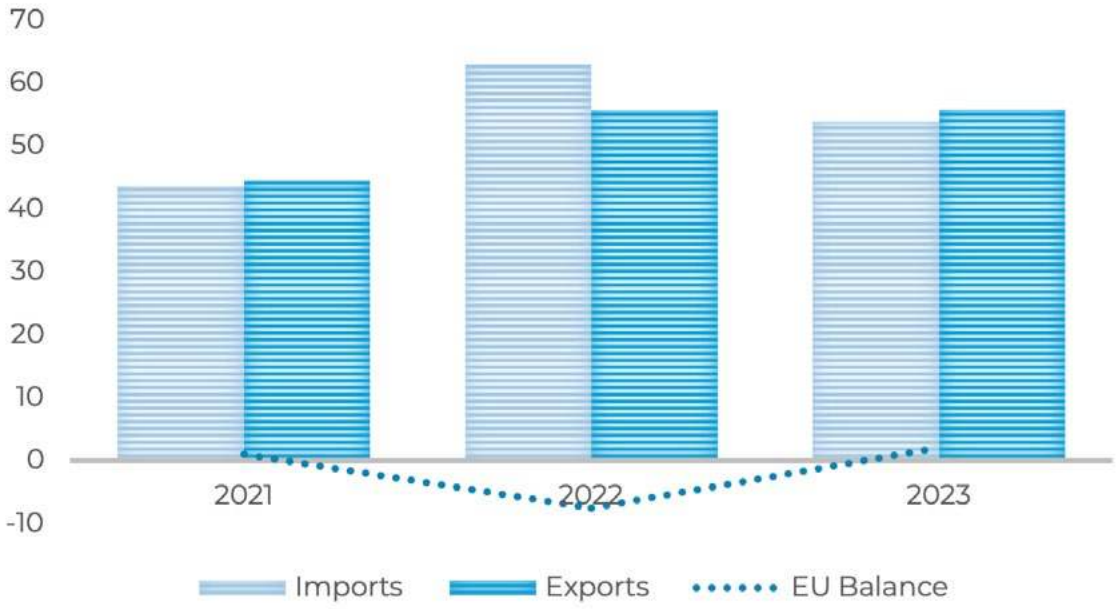
Figure 1: Comparative overview of main exports: EU versus Mercosur



Source: Authors' own elaboration.

Recent trade data exemplify the evolving dynamics that underpin this relationship. Figure 2 presents EU-Mercosur trade flows between 2021 and 2023, highlighting fluctuations in imports, exports, and trade balances over this period. In 2021, the EU recorded a modest trade surplus of €1 billion, driven by slightly higher exports to Mercosur. However, this shifted considerably in 2022, when the EU experienced a trade deficit of €7.5 billion, driven by a surge in EU imports from Mercosur, particularly raw materials and agricultural products.

Figure 2: Goods trade flows from the EU to Mercosur (2021-2023)



Source: Eurostat.

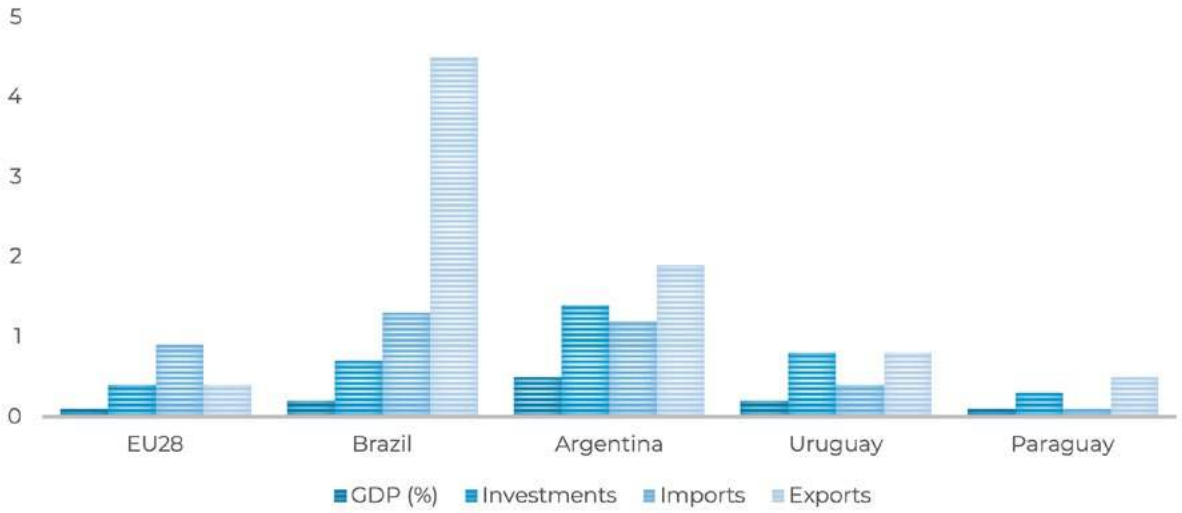
1.1 Economic impacts: growth, trade, and investment projections

Employing a 2032 baseline, the *Sustainability Impact Assessment* (LSE, 2020) demonstrates the macroeconomic effects of the EU-Mercosur agreement . Results under conservative assumptions show that all participating countries experience GDP growth. In particular, the EU28[1] sees an increase of €10.9 billion (+0.1%), while Mercosur countries, though gaining less in absolute terms, achieve relatively larger growth—Argentina leads with a 0.5% rise, followed by Brazil and Uruguay (both +0.2%), and Paraguay (+0.1%). In the European Union, GDP growth is primarily driven by increased consumption of lower-cost imports, complemented by moderate gains in exports and investments (see Figure 3). Welfare effects[2] are positive (+6.3%), and real wages increase across the board, with unskilled workers experiencing slightly greater gains—contributing to a reduction in the wage gap (see Figure 4).

[1] These figures include the UK.

[2] In international economic modelling, welfare gains typically refer to the improvement in the population's purchasing power and living standards, as a result of access to cheaper goods, better variety, and increased efficiency in resource allocation. Unlike GDP, welfare estimates also factor in changes in public revenues. As such, tariff reductions produce two opposing effects: they boost welfare by lowering prices and increasing demand, but may reduce it when governments lose income from tariffs.

Figure 3: Projected impact on GDP, investment, imports, and exports



Source: LSE 2020.

Among Mercosur countries, Brazil and Argentina record the highest export growth (+4.5% and +1.9%, respectively), reflecting improved market access. Welfare outcomes, however, are more uneven: Argentina and Brazil register welfare gains (+1.5% and +1.4%), while Uruguay experiences a slight decline (-0.1%) and Paraguay remains unchanged. These differences are largely influenced by changes in tax revenue —as in the case of Uruguay, where the loss of tariff income outweighs the benefits of lower prices and increased demand (LSE, 2020). Real wages rise across all Mercosur countries, with particularly pronounced gains for unskilled workers. Moreover, consumer prices decline throughout the region—most notably in Brazil (–1.5%)—likely as a result of increased import competition.

Figure 4: Projected impact on welfare, wages, and prices



Source: LSE 2020.

The EU-Mercosur agreement presents a strategic opportunity for both South America and Europe to deepen economic integration and foster mutual development through trade in goods and services. For Argentina, Brazil, Paraguay, and Uruguay the agreement provides incentives to shift from traditional commodity exports toward higher-value products and industrial diversification. The agri-food sector is poised to benefit most significantly. With reduced tariffs and expanded quotas, exports of beef, poultry, pork, sugar, ethanol, fruits, vegetables, coffee, and cocoa will become more competitive in the EU market. Beyond raw goods, the agreement encourages investment in agro-industrial processing, enabling South American producers to export packaged, branded, and origin-certified products—such as gourmet coffee, chocolate, and wines—thus increasing margins and reinforcing regional identity.

Additional gains are expected in the textile and footwear industries, which stand to become more competitive through improved market access and reduced trade barriers. In the longer term, the automotive and machinery sectors may become more deeply integrated into global supply chains, facilitated by improved access to EU components, technology, and expertise. Countries like Brazil and Uruguay may also benefit in the forestry and paper products sectors, especially if aligned with environmental standards and certification schemes demanded by EU consumers.

The challenge lies in developing the infrastructure, certification systems, marketing strategies, and domestic industries necessary to process, package, and commercialise raw goods with greater added value, while complying with the EU's quality and environmental standards. On the European side, the agreement offers considerable export growth potential for industrial and manufactured goods, including automobiles, auto parts, pharmaceuticals, medical equipment, and machinery. The removal of high tariffs— some reaching as high as 35%, notably in the automotive industry — opens access to large consumer markets across South America.

Moreover, the EU's highly regulated and premium agri-food exports, such as wine, cheese, dairy, and processed foods, will benefit from enhanced protections through the recognition of geographical indications (GIs). European producers of *Champagne, Roquefort, Parmigiano-Reggiano*, and similar goods will benefit from legal safeguards and expanded market share. In addition, the agreement strengthens Europe's position in providing chemical, petrochemical, and green technologies, particularly in areas like renewable energy, water management, and sustainable agriculture, where demand is rising across the Mercosur region. The services sector—particularly financial services, logistics, engineering, and information technology—also stands to benefit from improved market access, clearer investment regulations, and enhanced legal predictability.

For both blocs, small and medium-sized enterprises (SMEs) are likely to benefit from simplified customs procedures, reduced bureaucracy, and enhanced regulatory cooperation. In this context, the EU-Mercosur agreement is more than a trade pact; it serves as a strategic platform for bilateral transformation.
South America is incentivised to emulate Europe's success in developing high-value, origin-linked product markets, while Europe gains access to diversified strategic raw materials—including nickel, copper, aluminium, and steel—and large emerging consumer markets. Beyond raw materials, of which the EU sources up to 98% of its rare earth imports from China (Gao & Chen, 2025), the agreement promotes investment in agro-industrial processing. This enables South American producers to export packaged, branded, and origin-certified products, such as gourmet coffee, chocolate, and wine, increasing profit margins and strengthening regional identity. All this occurs within a framework that promotes sustainability, innovation, and regulatory convergence.





1.2 EU's agricultural concerns: impact on the farming sector

European agricultural interests—particularly in France, Ireland, and Poland—have strongly opposed the agreement, citing concerns over increased imports from Mercosur countries and the potential for unfair competition. The primary focus of this opposition is on beef imports, with European farmers concerned that an influx of cheaper beef could undermine local production, owing to disparities in environmental and labour standards. However, the agreement's impact on the EU beef market is limited. It does not grant duty-free access to Mercosur beef but introduces a tariff-rate quota allowing 99,000 tonnes of beef to enter the EU annually at a reduced tariff of 7.5%. Within this quota, 55% is allocated to higher-value fresh or chilled beef and 45% to frozen beef. The volume covered by the quota represents approximately 1.6% of total EU beef production, which reached an estimated 6.1 million tonnes in 2023. Although stakeholders have expressed concerns about increased competitive pressure on EU producers, the agreed quota is less than half of the current volume of Mercosur beef imports, which stood at 196,000 tonnes in 2023 (European Commission, 2024). This suggests that the agreement largely consolidates existing trade flows rather than introducing a substantial market disruption.

Furthermore, the agreement includes provisions to ensure that all imported products meet the EU's stringent environmental, animal welfare, and food safety standards, mitigating the risk of substandard products entering the market. It also establishes a framework for addressing concerns over sustainability, with a commitment to ensuring that trade will not contribute to deforestation. Notably, it includes clauses permitting the suspension of trade benefits should Mercosur countries fail to meet their environmental commitments, particularly with regard to the Amazon.

Beyond beef, other agricultural sectors may likewise face increased competitive pressure. For example, sugar, ethanol, and poultry products from Mercosur could gain preferential access to the European market. While these imports constitute a smaller share of the overall market, certain EU farmers, particularly those producing goods directly competing with Mercosur products, may still experience adverse impacts. However, the deal does provide opportunities for EU agricultural sectors that export high-value products to Mercosur. For example, EU wine, olive oil, and

chocolate will benefit from reduced tariffs, enhancing their competitiveness in South American markets. EU wine and spirits, currently subject to tariffs of up to 35%, will have improved access to Mercosur markets, where demand for premium products is growing. Olive oil exports, valued at €485 million in 2022, will also gain from the removal of a 10% tariff, and similarly, EU chocolate exports will benefit from the elimination of a 20% tariff (European Commission, 2024).

In addressing agricultural concerns, it is also essential to consider the evolving market dynamics and long-term opportunities for the EU farming sector. The agreement fosters diversification and innovation by creating new export opportunities for high-quality EU agricultural products, enabling farmers to capitalise on the growing demand for premium goods within Mercosur countries. Moreover, it incentivises sustainable farming practices by linking trade preferences to environmental commitments. Policymakers may also explore complementary measures to support farmers in adapting to increased competition, such as investment in technology, improved supply chain resilience, and targeted rural development programmes.

1.3 Mercosur's concerns: maintaining competitiveness in manufacturing and services

For Mercosur economies, the main concern lies in maintaining competitiveness in sectors such as manufacturing and services, which remain less developed compared to their European counterparts. While the agreement offers substantial trade benefits for agricultural exports, concerns persist within Mercosur countries regarding their ability to compete in high-technology industries and services, which form the core of the EU's economic strength.

However, the agreement includes several provisions aimed at addressing these concerns. One of the principal benefits for Mercosur lies in the potential to attract foreign direct investment (FDI) in manufacturing and services, particularly from EU firms seeking to establish a foothold in the South American market. This creates an incentive for European companies to invest in Mercosur economies, introducing advanced technologies and management practices to local industries. In addition, the agreement facilitates cooperation in the services sector, particularly in areas such as telecommunications, financial services, and information technology.

This collaboration will grant Mercosur countries access to EU expertise, enabling the modernisation of their services sectors and the enhancement of productivity. The phased tariff reductions afford Mercosur industries the necessary time to adapt to increased competition, thereby bolstering their long-term competitiveness. Furthermore, a key element of the agreement is its emphasis on regulatory cooperation, aimed at harmonising standards between the two regions.

By aligning Mercosur's regulatory frameworks with international best practices, the deal reduces barriers to trade and investment, providing Mercosur businesses with access to more stable and predictable markets. This will help local industries upgrade their practices and build stronger relationships with European counterparts. Moreover, the agreement provides Mercosur countries with enhanced market access for key sectors such as ethanol, soybeans, and beef, where they have a strong comparative advantage. The broader opening of these markets to Mercosur is expected to reduce dependence on traditional agricultural exports and support the diversification of the region's economy.

Despite these provisions, Mercosur countries face structural challenges that require targeted policy support to fully benefit from the agreement. Limited infrastructure, skills gaps, and varying levels of institutional capacity across Mercosur members may constrain the ability to attract and effectively utilise foreign investment and technology transfer.

To maximise the potential gains in manufacturing and services, Mercosur governments must prioritise investments in education, digital infrastructure, and innovation ecosystems. Strengthening regional integration within Mercosur itself could also enhance economies of scale and improve competitiveness vis-à-vis global players. Furthermore, capacity-building initiatives focused on regulatory alignment and trade facilitation will be essential to enable local businesses to comply with the evolving standards required by both the EU and global markets. In the absence of such complementary measures, there is a significant risk that the benefits of the agreement will be unevenly distributed, potentially exacerbating existing economic disparities within the region.





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2. ENVIRONMENTAL AND HEALTH COMMITMENTS

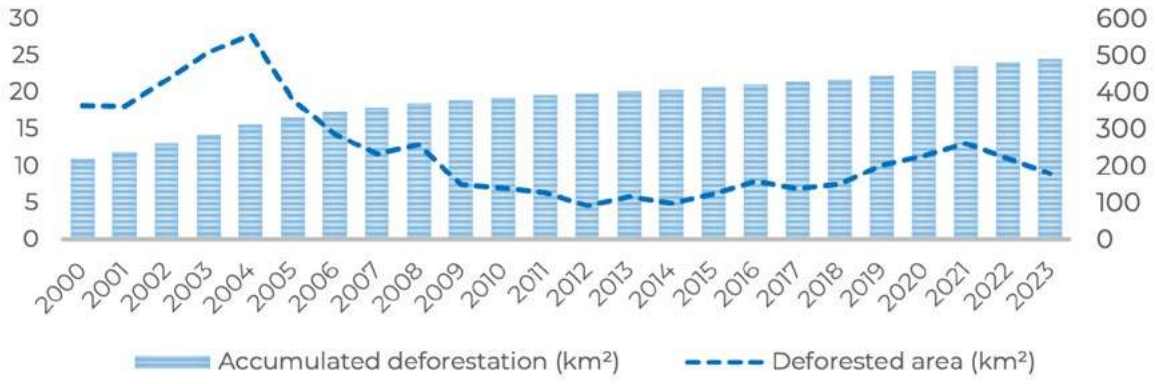


Environmental concerns have become one of the primary obstacles to the ratification of the EU-Mercosur agreement.

European policymakers, civil society organisations, and environmental activists have expressed robust opposition, citing concerns over deforestation in the Amazon and the ongoing use of pesticides banned within the EU but still permitted in Mercosur countries. These concerns gained renewed prominence in recent years, particularly following the significant surge in deforestation observed in 2019 and 2020. This development proved pivotal in prompting several EU Member States—including France, Austria, and the Netherlands— to temporarily suspend ratification discussions, insisting on stronger environmental safeguards prior to proceeding. As illustrated in Figure 5, in 2019 deforestation rose sharply—by nearly 75% compared to 2018—peaking in 2021 at 13,038 km^2, before declining in 2023.

In response to these environmental concerns, several EU Member States—most notably France and Austria—have advocated for stronger environmental safeguards as a precondition for ratification. The figure below depicts the annual deforested area (dashed line, left axis) alongside the cumulative deforestation (bars, right axis) in the Legal Amazon between 2000 and 2023, based on data from the PRODES forest monitoring system of the Brazilian National Institute for Space Research (INPE).

Figure 5: Deforestation rates in the Legal Amazon region, from 2000 to 2023[3]



Source: PRODES, 2024.

[3] Values in thousands of km^2

While yearly deforestation rates show fluctuations—ranging from peaks of over 25,000 km^2 in the early 2000s to a significant drop below 10,000 km^2 in the early 2010s—the overall trend in accumulated deforestation reveals a steady and substantial increase. Accumulated deforestation in the Legal Amazon increased from 220,473 km^2 in 2000 to 490,870 km^2 by 2023, underscoring the long-term environmental impact of forest clearance despite some improvements in annual deforestation rates over the past two decades.

To address these concerns, the agreement incorporates binding environmental provisions designed to ensure that trade liberalisation does not come at the expense of environmental degradation. Notably, the deal introduced 2019 a Trade and Sustainable Development (TSD) chapter and designated the Paris Agreement as an "essential element" of the broader trade framework. This designation implies that a serious breach or withdrawal by any party could lead to the suspension of trade benefits (European Commission, 2024). In addition, a newly negotiated Annex to the TSD Chapter introduces binding commitments on deforestation. For the first time in a trade agreement subject to dispute settlement, the parties commit to halting further deforestation by 2030. This legally binding commitment represents a departure from previous political declarations and supports Mercosur countries in implementing the EU Deforestation Regulation (European Commission, 2022).

Adding to the complexity, Argentina and Brazil were recently classified as standard-risk countries under the EU Deforestation Regulation (European Commission, 2025). Consequently, commodities imported from Brazil—such as beef, soy, and timber—will be subject to full due diligence requirements. Unlike low-risk countries, Brazil does not benefit from simplified procedures, which may affect trade flows and increase scrutiny of its environmental performance, potentially influencing EU Member States' positions on the ratification of the agreement.

Beyond environmental concerns, opposition countries have increasingly highlighted issues regarding health standards and food safety within the context of the agreement. Critics argue that the agreement could compromise European standards; however, this assertion does not reflect the full reality, as the EU-Mercosur agreement does not entail any reduction in European health, safety, or environmental regulations. For instance, hormone-treated beef remains prohibited in the EU irrespective of the trade agreement. The primary challenges lie in the enforcement of border controls rather than in the provisions of the agreement itself.



An audit conducted by the European Commission's Directorate-General for Health and Food Safety (European Commission, 2024) evaluated Brazil's implementation of official controls on residues of pharmacologically active substances, pesticides, and contaminants in animal products exported to the EU. The audit found that, while Brazil's control plans largely conform to EU legislation, weaknesses persist in verifying that cattle have never been treated with substances prohibited by the EU. These shortcomings stem not only from the reliability of operators' declarations and the limitations of Brazil's control systems, but also from the EU's own capacity to monitor and regulate its imports effectively. This highlights a critical point: although the legal frameworks are largely aligned, the efficacy of enforcement ultimately hinges on the strength of the EU's border control mechanisms. Consequently, ensuring the effectiveness of these controls and maintaining the requisite political commitment will be essential to upholding European health and safety standards in trade with Mercosur.



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3. RISING OPPORTUNITIES IN A CHANGING GLOBAL ORDER

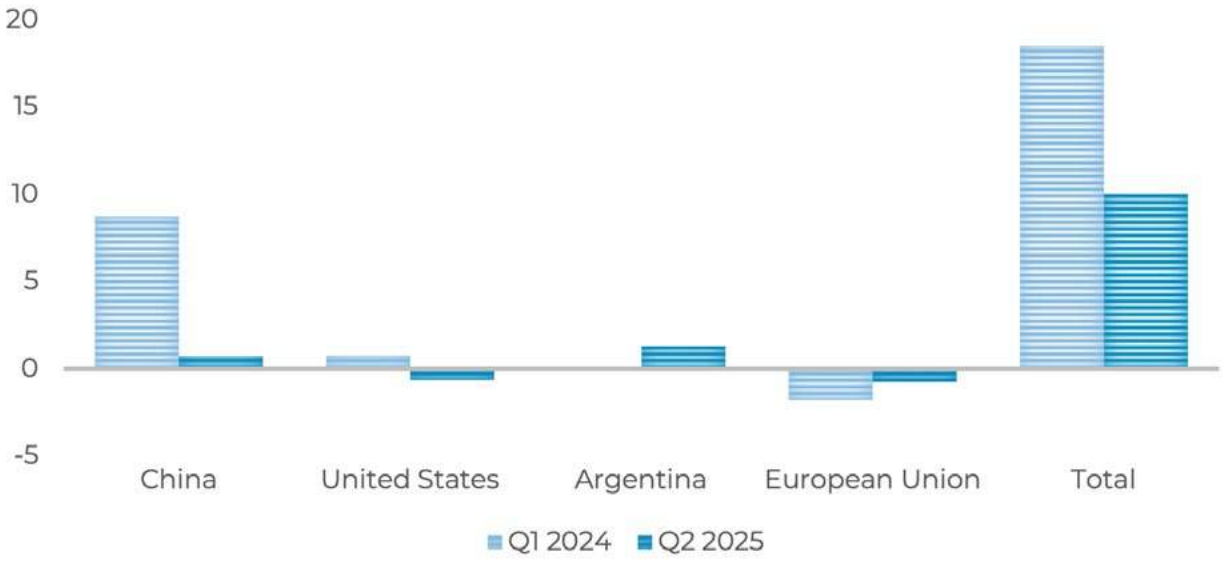
Beyond trade and environmental considerations, the EU-Mercosur agreement holds substantial geopolitical significance, particularly in light of shifting global power dynamics, the growing influence of China in South America, and volatile commercial relations with the United States.

Since April, global trade has faced significant turbulence following the Trump administration's announcement of a broad set of "reciprocal tariffs" targeting nearly all countries and products with which the United States maintains a trade deficit — most notably China, with which it has become engaged in an escalating tariff dispute. The structural asymmetry in U.S.–China trade relations further compound these risks. While China accounts for approximately 7.5% of U.S. exports and 17% of its imports, the United States represents just 6.6% of China's imports and 16.2% of its exports. This imbalance suggests that China is relatively better positioned to diversify its trading partners—turning to emerging regions such as Mercosur or established blocs like the European Union—than the U.S. is to substitute Chinese suppliers, particularly in sectors like electronics and machinery. As a result, the current tariff escalation may place greater long-term strain on the U.S. economy than on its Chinese counterpart, while simultaneously opening new strategic opportunities for other global players.



Notably, Brazil's trade balance with China returned to a surplus of US$ 4.2 billion after two consecutive months of deficits, suggesting a degree of short-term resilience amid global trade turbulence. However, a broader analysis (Figure 6) reveals the structural vulnerability of Brazil—and, by extension, Mercosur—to fluctuations in Chinese demand. Brazil's cumulative trade surplus for the first quarter of 2025 reached US$ 10 billion, down sharply from US$ 18.5 billion in Q1 2024. This decline is largely driven by a significant reduction in its surplus with China, which fell from US$ 8.7 billion to just US$ 745 million year-over-year (FGV IBRE, 2025).

Figure 6: Brazilian trade balances in USD billions – First quarter of 2024 and 2025

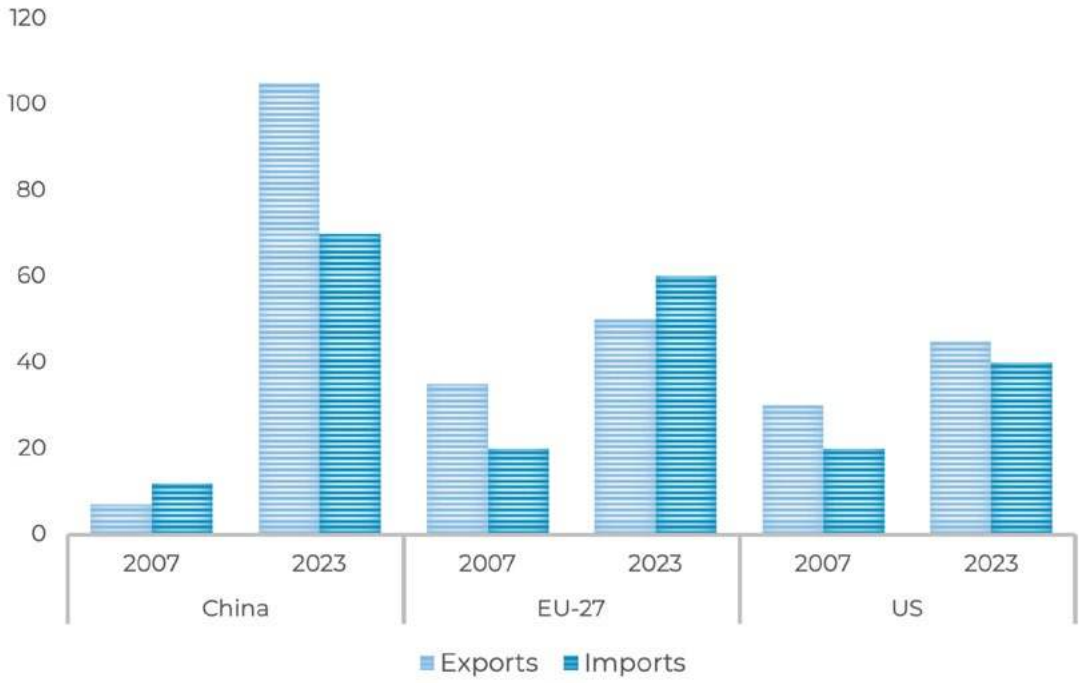


Source: Foreign Trade Secretariat/ Ministry of Development, Industry and Trade (MDIC).

Looking ahead, it is anticipated that trade surpluses may recover, driven by resumed soybean exports to the Chinese market and a potential uptick in other agricultural shipments. However, such outcomes remain contingent on the evolution of the U.S.–China trade dispute, which continues to influence global commodity flows and demand patterns. While the immediate effects of U.S. protectionist policies appear contained, South America's continued reliance on Chinese markets poses a potential risk to Mercosur 's long-term trade stability. This underscores the strategic importance of diversifying trade partnerships to reduce exposure and strengthen economic resilience. As commercial ties between Mercosur and China deepen, the agreement with the European Union represents not only a diversification strategy for South American economies but also a geopolitical counterbalance that promotes regulatory alignment and strategic cooperation between two major regional blocs. Although the increase in total trade in goods between the European Union and Mercosur (Figure 7) may initially appear significant, the rate of growth over 16 years remains relatively modest. This is particularly evident when compared to the rapid and expansive economic engagement pursued by China in the region.

Figure 7: Top three trade partners in goods for Mercosur

Source: Direction of Trade Statistics, IMF.



Despite the steady progression of EU-Mercosur trade, it has not matched the pace or scale of China's economic presence, which now extends across critical sectors such as infrastructure, energy, and technology throughout South America. This divergence underscores the urgency for the EU to revitalise its trade relationship with Mercosur if it hopes to remain a relevant and influential partner in the region.

The agreement comes at a time when traditional alliances are shifting, with growing uncertainty over the transatlantic relationship, particularly following the Trump administration's more protectionist stance on trade. Against this backdrop, the EU has increasingly looked to diversify its global partnerships, making the Mercosur agreement a strategic asset in securing access to new markets and reinforcing political ties with Latin America. For Mercosur, the deal represents an opportunity to strengthen economic relations with Europe and reduce dependence on China.

While China's investments and trade have been crucial for South American economies, overreliance on Chinese demand poses risks, particularly given concerns over supply chain dependencies and geopolitical tensions. The EU offers an alternative trade partnership that aligns more closely with democratic values and regulatory frameworks, providing Latin America with a counterbalance in its external economic engagements. Moreover, the EU-Mercosur deal signals a commitment to multilateralism at a time when protectionist sentiments are on the rise globally. By advancing this agreement, the EU demonstrates its ability to negotiate comprehensive trade deals despite internal divisions and external challenges. For Mercosur, the agreement provides a pathway toward deeper integration into the global economy, thereby attracting increased investment and fostering sustainable economic development.

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4. THE ROAD TO EU-MERCOSUR APPROVAL



The EU-Mercosur agreement remains pending formal ratification and implementation. Its entry into force is contingent upon a complex legal and political process within both the European Union and the Mercosur bloc. The political agreement reached in December 2024 represents an initial milestone. The final text must now undergo legal scrutiny and be translated into all official languages of the European Union. By the end of July 2025, the European Commission is expected to submit formal proposals to the Council of the EU to sign and conclude the agreement. At that stage, it will also confirm the legal nature of the deal—either as an EU-only agreement or a mixed agreement requiring Member State ratification.

4.1 Legal pathways and ratification models

The Commission aims to frame the agreement as an EU-only trade deal, focusing on tariff reductions and trade facilitation (Kaspiarovich, 2025). This route would simplify the process, requiring only Council approval and European Parliament consent. Nevertheless, established legal precedents complicate the realisation of this ambition. The CJEU's Opinion 2/15 and the experience with the EU-Canada CETA agreement have shown that provisions related to investment protection, labour rights, and environmental standards may fall under shared competencies. In such cases, ratification by all 27 Member States becomes necessary, transforming the agreement into a mixed deal. Recent EU agreements have followed two main legal models: a dual-track structure, consisting of a mixed framework agreement (subject to EU and Member State ratification) and a separate EU-only interim trade agreement covering provisions under the EU's exclusive competence, which can enter into force following EU-level ratification alone; and a single mixed agreement, requiring ratification by both the EU and all Member States before the agreement can fully enter into force.

Two procedural models are therefore under consideration for the EU-Mercosur agreement:

- **Dual-track approach with an EU-only interim trade agreement:** This model splits the agreement into two parts—an EU-only interim trade agreement (ITA) covering provisions under exclusive EU competence,

and a separate mixed framework agreement addressing broader political, environmental, and social matters. The EU-Chile agreement followed this structure, enabling partial entry into force while awaiting Member State ratifications for the mixed part.

- **Single mixed agreement:** This model treats the entire agreement as a mixed agreement, requiring ratification by both the EU and all Member States. After the Council authorises the signature (Article 218(5) TFEU) and the European Parliament gives its consent (Article 218(6)), final approval depends on national—and in some cases, regional—parliamentary processes. The CETA experience, which remains only partially ratified years after signature, highlights the political risks and delays associated with this approach.

Given the structural and substantive similarities between the EU-Mercosur and EU-Chile agreements, the dual-track approach is widely seen as the most practical and politically viable. It is also explicitly permitted under the Council's 1999 mandate, which provides for an interim agreement (Grieger, 2024).

4.2 Political landscape and prospects for ratification

The political landscape within the EU indicates that ratification of the EU-Mercosur trade agreement remains attainable—especially if the dual-track approach outlined above is adopted.

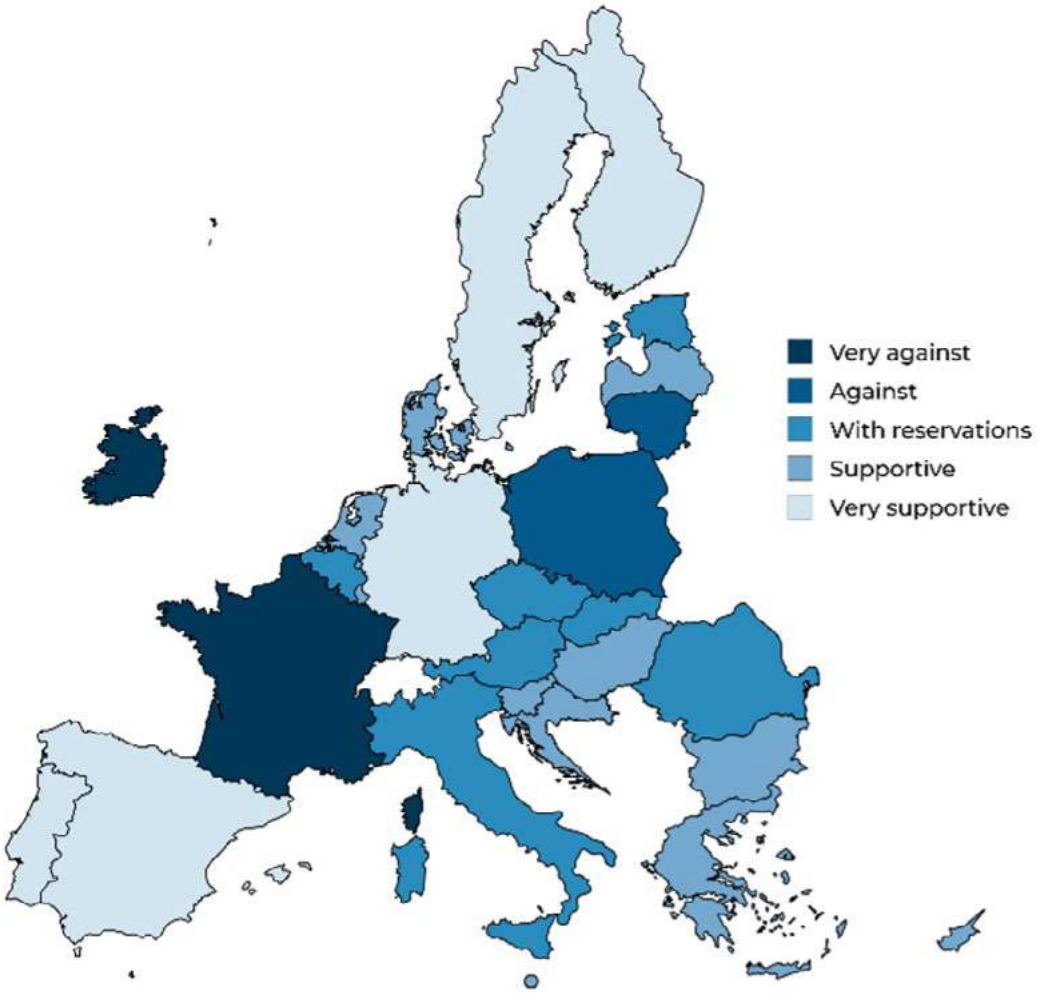
Despite opposition from several Member States, the agreement could still gain sufficient support under the Qualified Majority Voting (QMV) system. Under QMV, no single country can veto the agreement. However, abstentions count as votes against, reducing the chances of reaching the necessary thresholds—at least 55% of Member States (15 out of 27), representing at least 65% of the EU population. Based on current positions, four Member States (France, Ireland, Lithuania, and Poland) oppose the agreement. In addition, several others with reservations—such as Austria, Belgium, and Romania—may choose to abstain. In this context, the position of two major swing states—Italy and Poland—is decisive. Together, they represent approximately 21.6% of the EU population. Italy has shown a mixed

stance, with both positive signals and concerns related to fair competition and environmental safeguards If both Italy and Poland support the agreement, the population threshold for QMV would be comfortably met. However, if either abstains or votes against, the deal risks falling short of approval. This highlights that, while the ratification path remains uncertain, it remains within reach. A dual-track strategy—or an EU-only agreement limited to trade provisions—could reduce the risk of national vetoes while addressing social and environmental safeguards in a parallel legal framework.

Nevertheless, significant political risks persist. Some Member States appear to be exploiting the Mercosur negotiations to extract concessions in other major EU policy files—particularly in the next Multiannual Financial Framework (MFF) or in upcoming CAP Strategic Plans in exchange for softening their stance on the trade agreement. As highlighted in section 1.2, the EU-Mercosur deal would liberalise access to a range of agricultural products, including beef, poultry, sugar, ethanol, and other goods. The fear among EU farmers—particularly in countries with strong agricultural lobbies—is that increased imports could lead to downward price pressure, displacement of domestic products, and higher competition in already volatile markets. Such economic pressures could, in turn, influence the future allocation and conditionality of CAP resources. Countries such as France, Italy, and Poland, among the largest recipients of CAP funds, are especially sensitive to the perceived risks posed by the agreement to their agricultural sectors and may push for compensatory mechanisms within the CAP, such as higher direct payments, rural development funding, or stricter sustainability standards for imports. This adds a layer of transactional politics to the negotiations, wherein national governments balance the trade-off between broader EU strategic interests—such as geopolitical alignment with Latin America and trade diversification—and domestic political costs, particularly in rural constituencies.

As a result, although ratification of the agreement remains feasible—particularly via a dual-track or EU-only approach—these internal dynamics may delay its adoption or lead to a more fragmented and politicised outcome.

Figure 8: Positions of EU Member States on the EU-Mercosur Agreement



Source: Authors' own elaboration.

The broader political dynamics reflect a delicate balancing act: while a vocal minority endeavours to form a blocking coalition, the majority of Member States acknowledge the strategic importance of the agreement. Support for the deal is closely tied to the EU's broader objectives of strengthening ties with Latin America, diversifying trade partnerships, and enhancing global competitiveness. These goals were reaffirmed during the EU-CELAC Summit in July 2023, where leaders emphasised the geopolitical importance of closer interregional cooperation. Thus, although the path to ratification may be procedurally and politically complex, the current momentum—if supported by careful institutional and diplomatic management—indicates that the EU-Mercosur agreement remains on course for eventual approval.


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CONCLUSION

The EU-Mercosur trade agreement stands at a critical juncture for both blocs to strengthen economic ties and broaden their global influence amid shifting geopolitical dynamics. If implemented, it establishes a strategic framework to advance economic integration and foster shared development through the exchange of goods and services. For South America, the agreement encourages a shift from raw commodity exports to value-added goods while promoting alignment with EU environmental and quality standards. Europe, in turn, secures improved access to South American markets for its industrial goods, pharmaceuticals, and high-value agricultural products, protected by robust provisions and geographical indication safeguards. The deal also advances cooperation in green technologies and services, crucial for driving sustainable economic growth and addressing shared environmental challenges.

Small and medium-sized enterprises (SMEs) in both regions are poised to benefit from streamlined procedures and more predictable trade rules. At its core, the agreement promises a substantial expansion of market access, creating new opportunities across a wide range of sectors, from agriculture to high technology. For the EU, it represents a strategic opportunity to deepen engagement with the increasingly influential Mercosur bloc, while Mercosur stands to gain improved access to the EU's advanced markets and technological expertise.

Nevertheless, the agreement presents considerable challenges, particularly within the agricultural sector. Concerns over intensified competition—especially in the beef industry—and its potential impacts on local producers have provoked apprehension across Europe. These tensions underscore the imperative for a carefully calibrated implementation strategy to ensure that the benefits of the agreement are distributed equitably and sustainably. The environmental provisions embedded in the agreement are of particular significance, as they aim to address longstanding concerns regarding forest degradation, most notably in the Amazon region. While the inclusion of binding commitments on deforestation represents a significant advancement, the ultimate success of the deal will hinge on the establishment of rigorous enforcement mechanisms and effective compliance. Although political momentum toward ratification is growing—partly driven by intensifying competition from China and shifting US tariff policies— the EU must ensure the comprehensive implementation of its environmental and social standards to uphold the integrity of the agreement and remain consistent with its core values.

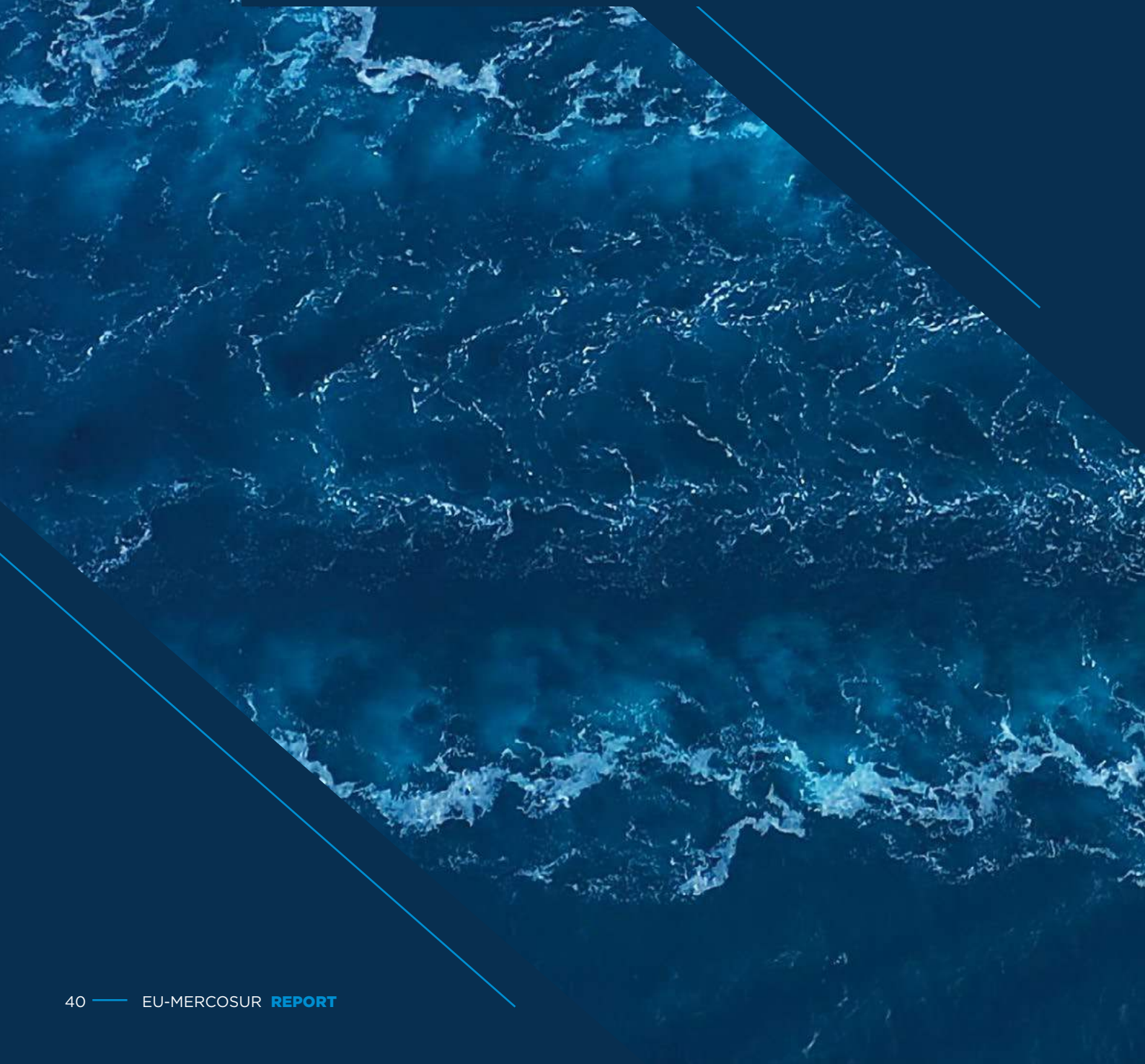


Crucially, after more than two decades of negotiations, the failure to conclude the agreement would send a damaging signal concerning the European Union's credibility as a strategically relevant actor on the global stage. It would cast doubt on EU's capacity to uphold long-term diplomatic and economic commitments, foremost among its longstanding like-minded partners. This moment thus transcends mere market access; it fundamentally concerns the Union's ability to assert its geopolitical ambitions and maintain relevance within an increasingly multipolar global order.

This is a critical juncture. Both the European Union and Mercosur must act decisively to implement this trade deal, unlocking its full economic and geopolitical potential before competing global powers further reshape regional dynamics.

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